



YOUR PARTNER IN PROGRESS

Interim Financial Statements

For the year ended 31st December 2025

FINANCIAL COMMENTARY FOR THE YEAR ENDED 31ST DECEMBER 2025

- Group's total tax contribution amounted to Rs 48.4 Bn in 2025
- Group's Gross Loans and Advances crosses Rs 1.5 Tn in 2025 and deposits crosses Rs 2.0 Tn
- Net Fee and Commission Income grew by 28.9% year-on-year
- Asset quality strengthened with the Net Stage 3 ratio improving to 1.09% and Stage 3 coverage at 75.97%
- Declares a total dividend of Rs 20.00 per share

HNB Group delivered strong performance in 2025, with Group Profit After Tax (PAT) reaching Rs 49.8 Bn, reflecting the continued progress. The Bank's PAT stood at Rs 45.4 Bn, supported by robust balance sheet expansion and sustained improvements in asset quality.

Despite strong credit growth, net interest margins remained under pressure amid an accommodative monetary policy stance. Net Interest Income declined marginally by 0.6% year-on-year, reflecting the broad reduction in market interest rates, and the recognition of a portion of overdue interest from the restructuring of Sri Lanka Sovereign Bonds (SLSBs) in December 2024, which temporarily boosted interest income in the previous year. However, the decrease in net interest income was moderated by the increase in interest income from loans and advances, supported by the expansion in the loan book, and the growth in CASA deposits.

Non-fund-based income provided a strong counterbalance, with Net Fee and Commission Income increasing by 28.9% year-on-year on the back of higher card usage and a sharp increase in digital transactions. The significant increase in the demand for trade related services on the back of the reopening of vehicle imports and improving trade activity, saw trade finance emerge as one of the key contributors to non-fund income in the current year. Furthermore, Exchange income rose to Rs 6.3 Bn during the year, reversing the loss of Rs 2.9 Bn recorded in 2024.

Prudent risk management, disciplined underwriting and focused recovery efforts supported a significant improvement in asset quality during the year. The Stage 3 portfolio recorded a net reduction alongside an impairment reversal of Rs 9.2 Bn, following the recognition of Rs 2.2 Bn in post-model adjustments made prudently for loan exposures with potential vulnerability arising from Cyclone Ditwah. Accordingly, the Net Stage 3 ratio improved to 1.09% as at end December 2025, compared to 1.88% a year earlier, while the Stage 3 coverage ratio remained robust at 75.97%.

The Bank's asset base expanded to Rs 2.39 Tn, reflecting a year-on-year growth of 15.0% driven by the strong expansion in the loan book and disciplined balance sheet optimisation. With a clear focus on enhancing the asset mix, the Bank redeployed funds from government securities into customer loans. Consequently, Total Gross Loans and Advances grew by Rs 354 Bn during the year to exceed Rs 1.5 Tn, marking the most significant annual increase in the Bank's history. The Bank's deposit base also recorded healthy growth of Rs 246 Bn, reaching Rs 1.96 Tn as at end-December 2025, supported by focused efforts to strengthen CASA mobilisation, and improve the overall funding mix.

Capital buffers remained strong, with the Bank's Tier I and Total Capital Adequacy ratios at 16.85% and 19.95%, respectively, well above regulatory minimums, supported by healthy internal capital generation and prudent risk-weighted asset expansion. The Bank also maintained a robust liquidity position, with an all-currency liquidity coverage ratio of 227.75%, comfortably exceeding statutory requirements across all currencies, underscoring the strength of HNB's balance sheet and risk management frameworks.

HNB's share delivered strong performance during 2025, with the voting share trading between a high of Rs 433.00 and a low of Rs 267.00, while the non-voting share recorded a trading range between Rs 340.00 and Rs 230.00 during the year. The voting and non-voting shares closed the year at Rs 398.50 and Rs 318.75, respectively, reflecting improved investor sentiment in line with the Bank's continued financial progress. The Group's Net Book Value per share increased to Rs 529.51 as at end-December 2025, supported by strong profitability and internal capital generation. In view of the positive performance, the Board of Directors of HNB PLC has proposed a total dividend of Rs 20.00 per share for 2025, subject to shareholder approval.

HNB is rated AA-(lka) by Fitch Ratings Lanka Ltd. and was recognised as Sri Lanka's Best Corporate Citizen for 2025 by the Ceylon Chamber of Commerce. Reinforcing its reputation for excellence, HNB was honoured with The Bracken Award for the Best Bank in Sri Lanka by the Banker Magazine, UK. The Bank was also recognised by The Asian Banker as 'Sri Lanka's Strongest Bank' and awarded 'Best Retail Bank in Sri Lanka' for the 15th time, while receiving the title of 'Best Bank for Large Corporates' at the Euromoney Awards for Excellence 2025. HNB is further ranked among the 'Top 1000 Banks in the World,' as affirmed by The Banker Magazine, UK.

INCOME STATEMENT												
	Bank			Bank			Group			Group		
	For the year ended 31st December			For the quarter ended 31st December			For the year ended 31st December			For the quarter ended 31st December		
	2025 (Audited)	2024 (Audited)	Increase/ (Decrease)	2025	2024	Increase / (Decrease)	2025 (Audited)	2024 (Audited)	Increase / (Decrease)	2025	2024	Increase / (Decrease)
	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%
Gross income	243,601,451	190,538,072	28	66,288,863	11,669,773	468	300,747,904	228,476,799	32	81,672,206	21,644,051	277
Interest income	210,862,176	222,690,253	(5)	56,133,638	56,734,081	(1)	239,723,325	240,243,657	(1)	64,275,805	61,035,152	5
Less : Interest expenses	115,125,931	126,402,153	(9)	29,591,961	28,907,912	2	124,614,700	130,478,678	(4)	32,516,815	29,797,150	9
Net interest income	95,736,245	96,288,100	(1)	26,541,677	27,826,169	(5)	115,108,625	109,764,979	5	31,758,990	31,238,002	2
Fee and commission income	23,705,737	18,412,099	29	7,190,195	5,122,890	40	26,252,858	20,022,671	31	7,804,518	5,529,383	41
Less: Fee and commission expenses	708,094	564,359	25	208,403	155,087	34	1,257,739	873,946	44	419,666	253,981	65
Net fee and commission income	22,997,643	17,847,740	29	6,981,792	4,967,803	41	24,995,119	19,148,725	31	7,384,852	5,275,402	40
Net interest, fee and commission income	118,733,888	114,135,840	4	33,523,469	32,793,972	2	140,103,744	128,913,704	9	39,143,842	36,513,404	7
Net gains / (losses) from trading	27,455	(4,308,429)	(101)	480,534	(225,367)	(313)	1,228,016	(3,965,732)	(131)	364,047	(7,485)	(4,964)
Net gains from financial investments at fair value through other comprehensive income	451,368	379,172	19	-	49,761	(100)	542,377	506,803	7	25,577	83,505	(69)
Net insurance premium income	-	-	-	-	-	-	23,770,490	17,968,647	32	6,991,958	4,754,178	47
Net losses arising from de-recognition of financial assets measured at amortised cost	-	(49,461,541)	(100)	-	(49,461,541)	(100)	-	(49,461,541)	(100)	-	(49,461,541)	(100)
Net other operating income	8,554,715	2,826,518	203	2,484,496	(550,051)	(552)	9,230,838	3,162,294	192	2,210,301	(289,141)	(864)
Total operating income / (loss)	127,767,426	63,571,560	101	36,488,499	(17,393,226)	(310)	174,875,465	97,124,175	80	48,735,725	(8,407,080)	(680)
Less: Impairment charge / (reversal) for loans and other losses	(9,166,636)	(78,987,828)	(88)	(1,707,093)	(82,232,993)	(98)	(8,395,196)	(77,874,059)	(89)	(1,457,718)	(82,147,129)	(98)
Net operating income	136,934,062	142,559,388	(4)	38,195,592	64,839,767	(41)	183,270,661	174,998,234	5	50,193,443	73,740,049	(32)
Less : Operating expenses												
Personnel expenses	22,939,306	21,189,328	8	5,867,107	6,428,627	(9)	29,837,507	26,328,854	13	8,071,718	7,947,812	2
Depreciation and amortisation	3,121,333	3,028,654	3	718,537	773,843	(7)	3,937,964	3,830,974	3	828,101	1,009,486	(18)
Benefits, claims and underwriting expenditure	-	-	-	-	-	-	22,334,000	17,314,118	29	4,763,574	3,554,666	34
Other expenses	22,257,275	17,986,603	24	6,221,870	4,727,043	32	29,705,135	23,654,837	26	8,301,789	6,248,784	33
Total operating expenses	48,317,914	42,204,585	14	12,807,514	11,929,513	7	85,814,606	71,128,783	21	21,965,182	18,760,748	17
Operating profit before taxes on financial services	88,616,148	100,354,803	(12)	25,388,078	52,910,254	(52)	97,456,055	103,869,451	(6)	28,228,261	54,979,301	(49)
Less : Taxes on financial services	17,124,122	20,534,046	(17)	3,523,810	9,932,365	(65)	18,767,963	21,147,935	(11)	3,908,119	10,149,170	(61)
Operating profit after taxes on financial services	71,492,026	79,820,757	(10)	21,864,268	42,977,889	(49)	78,688,092	82,721,516	(5)	24,320,142	44,830,131	(46)
Share of profit of equity accounted investees (net of tax)	-	-	-	-	-	-	797,703	1,377,926	(42)	41,956	557,307	92
PROFIT BEFORE INCOME TAX	71,492,026	79,820,757	(10)	21,864,268	42,977,889	(49)	79,485,795	84,099,442	(5)	24,362,098	45,387,438	(46)
Less: Income tax expense	26,065,179	38,478,964	(32)	7,948,311	23,842,695	(67)	29,672,630	39,259,810	(24)	9,274,522	24,208,983	(62)
PROFIT FOR THE YEAR	45,426,847	41,341,793	10	13,915,957	19,135,194	(27)	49,813,165	44,839,632	11	15,087,576	21,178,455	(29)
Profit attributable to:												
Equity holders of the Bank	45,426,847	41,341,793	10	13,915,957	19,135,194	(27)	47,592,853	43,538,931	9	14,115,408	20,539,224	(31)
Non-controlling interests	-	-	-	-	-	-	2,220,312	1,300,701	71	972,168	639,231	52
PROFIT FOR THE YEAR	45,426,847	41,341,793	10	13,915,957	19,135,194	(27)	49,813,165	44,839,632	11	15,087,576	21,178,455	(29)
Earnings per share												
Basic earnings per ordinary share (Rs)	79.44	72.30	10	24.34	33.46	(27)	83.23	76.14	9	24.69	35.92	(31)
Diluted earnings per ordinary share (Rs)	79.44	72.30	10	24.34	33.46	(27)	83.23	76.14	9	24.69	35.92	(31)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME												
	Bank			Bank			Group			Group		
	For the year ended 31st December			For the quarter ended 31st December			For the year ended 31st December			For the quarter ended 31st December		
	2025 (Audited)	2024 (Audited)	Increase / (Decrease)	2025	2024	Increase / (Decrease)	2025 (Audited)	2024 (Audited)	Increase / (Decrease)	2025	2024	Increase / (Decrease)
	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%
PROFIT FOR THE YEAR	45,426,847	41,341,793	10	13,915,957	19,135,194	(27)	49,813,165	44,839,632	11	15,087,576	21,178,455	(29)
Other comprehensive income that will not be reclassified to profit or loss in subsequent periods												
Change in fair value of investments in equity instruments designated at fair value through other comprehensive income	3,204,836	3,043,986	5	(827,486)	2,961,004	(128)	3,206,078	3,042,939	5	(828,222)	2,959,957	(128)
Remeasurement of post-employment benefit obligations	(863,399)	(3,138,087)	72	(863,399)	(3,138,087)	72	(973,300)	(3,280,236)	70	(950,906)	(3,243,429)	71
Revaluation gain on freehold land and buildings	-	4,733,055	(100)	-	4,733,055	(100)	180,507	5,490,076	(97)	114,690	5,490,076	(98)
Less: Tax expense relating to items that will not be reclassified to profit or loss including the effect of rate change	-	(1,419,916)	100	-	(1,419,916)	100	(16,622)	(1,632,877)	99	(3,665)	(1,643,919)	100
Total other comprehensive income that will not be reclassified to profit or loss	2,341,437	3,219,038	(27)	(1,690,885)	3,136,056	(154)	2,396,663	3,619,902	(34)	(1,668,103)	3,562,685	(147)
Other comprehensive income that will be reclassified to profit or loss in subsequent periods												
Debt instruments at fair value through other comprehensive income :												
Net gains / (losses) on investments in debt instruments measured at fair value through other comprehensive income	(192,217)	4,136,290	(105)	(832,728)	2,188,820	(138)	(71,378)	4,462,226	(102)	(925,179)	2,853,223	(132)
Net change in expected credit losses of debt securities measured at fair value through other comprehensive income (Net of exchange gain arising from translation)	(227,859)	1,593,267	114	34,441	1,593,267	98	(227,859)	1,593,267	114	34,441	1,593,267	98
Transfer to / (from) life policy holder reserve fund	-	-	-	-	-	-	(139,039)	(190,566)	(27)	73,413	67,515	9
Share of other comprehensive income of equity accounted investees that will be reclassified to profit or loss	-	-	-	-	-	-	106,722	(299,689)	136	68,949	74,670	8
Unrealised gain/(loss) on Foreign Currency translation on account of equity accounted investees	-	-	-	-	-	-	354,220	-	100	135,008	-	100
Less: Tax expense relating to items that will be reclassified to profit or loss including the effect of rate change	57,672	(1,240,887)	105	249,818	(656,646)	138	59,693	(1,241,243)	105	252,664	(675,741)	137
Total other comprehensive income that will be reclassified to profit or loss	(362,404)	4,488,670	(108)	(548,469)	3,125,441	(118)	82,359	4,323,995	(98)	(360,704)	3,912,934	(109)
OTHER COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX	1,979,033	7,707,708	(74)	(2,239,354)	6,261,497	(136)	2,479,022	7,943,897	(69)	(2,028,807)	7,475,619	(127)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX	47,405,880	49,049,501	(3)	11,676,603	25,396,691	(54)	52,292,187	52,783,529	(1)	13,058,769	28,654,074	(54)
Total comprehensive income attributable to:												
Equity holders of the Bank	47,405,880	49,049,501	(3)	11,676,603	25,396,691	(54)	49,820,912	51,477,698	(3)	11,995,462	27,763,688	(57)
Non-controlling interests	-	-	-	-	-	-	2,471,275	1,305,831	89	1,063,307	890,386	19
TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX	47,405,880	49,049,501	(3)	11,676,603	25,396,691	(54)	52,292,187	52,783,529	(1)	13,058,769	28,654,074	(54)

STATEMENT OF FINANCIAL POSITION

	Bank			Group		
	As at 31st December 2025 (Audited)	As at 31st December 2024 (Audited)	Increase / (Decrease)	As at 31st December 2025 (Audited)	As at 31st December 2024 (Audited)	Increase / (Decrease)
	Rs 000	Rs 000	%	Rs 000	Rs 000	%
ASSETS						
Cash and cash equivalents	55,375,004	63,356,259	(13)	56,743,380	64,065,041	(11)
Placements with banks	27,317,501	41,858,517	(35)	42,282,404	48,656,010	(13)
Balances with Central Bank of Sri Lanka	37,288,440	6,913,009	439	37,288,716	6,913,009	439
Reverse repurchase agreements	22,319,688	-	100	25,046,586	5,280,692	374
Derivative financial instruments	1,976,631	375,060	427	1,976,631	375,060	427
Financial assets measured at fair value through profit or loss	1,237,231	1,835,469	(33)	72,322,060	2,962,612	2,341
Financial assets measured at amortised cost - loans and advances to customers	1,433,237,237	1,063,675,345	35	1,505,587,603	1,104,013,319	36
Financial assets measured at amortised cost - debt and other financial instruments	650,618,623	741,761,201	(12)	684,366,194	770,020,546	(11)
Financial assets measured at fair value through other comprehensive income	94,855,469	96,309,470	(2)	115,172,024	112,407,299	2
Investment in equity accounted investees	-	755,000	(100)	6,382,955	5,553,026	15
Investment in subsidiaries	10,785,759	3,017,285	257	-	-	-
Investment properties	448,434	453,769	(1)	744,786	868,188	(14)
Property, plant and equipment	30,506,130	30,126,467	1	57,340,062	55,467,867	3
Right-of-use assets	8,730,560	4,512,346	93	2,974,167	2,302,947	29
Intangible assets and goodwill	1,718,483	1,322,941	30	3,645,478	1,808,753	102
Deferred tax assets	891,810	3,393,785	(74)	1,340,386	3,941,633	(66)
Other assets	13,305,385	18,872,133	(29)	25,023,466	24,537,698	2
Total assets	2,390,612,385	2,078,538,056	15	2,638,236,898	2,209,173,700	19
LIABILITIES						
Due to banks	11,343,172	6,595,571	72	11,343,172	6,595,571	72
Derivative financial instruments	300,191	1,573,417	(81)	300,191	1,573,417	(81)
Securities sold under repurchase agreements	28,197,135	26,486,104	6	81,505,432	26,486,104	208
Financial liabilities measured at amortised cost - due to depositors	1,961,851,197	1,715,484,127	14	2,017,732,197	1,750,259,233	15
Financial liabilities measured at amortised cost - other borrowings	15,511,110	19,740,135	(21)	27,213,296	19,742,152	38
Debt securities issued	10,044,766	-	100	9,986,711	448,108	2,129
Current tax liabilities	24,351,386	10,435,749	133	26,968,009	11,387,381	137
Deferred tax liabilities	-	-	-	6,857,168	6,731,283	2
Insurance provision - life	-	-	-	49,245,402	38,877,712	27
Insurance provision - non life	-	-	-	6,788,999	4,507,058	51
Other provisions	16,987,948	23,486,877	(28)	17,294,532	24,269,203	(29)
Other liabilities	23,525,467	15,082,574	56	33,364,371	18,579,820	80
Subordinated term debts	28,179,053	28,174,227	-	32,156,082	29,967,185	7
Total liabilities	2,120,291,425	1,847,058,781	15	2,320,755,562	1,939,424,227	20

STATEMENT OF FINANCIAL POSITION						
	Bank			Group		
	As at 31st December 2025 (Audited) Rs 000	As at 31st December 2024 (Audited) Rs 000	Increase / (Decrease) %	As at 31st December 2025 (Audited) Rs 000	As at 31st December 2024 (Audited) Rs 000	Increase / (Decrease) %
EQUITY						
Stated capital	42,858,227	42,858,227	-	42,858,227	42,858,227	-
Statutory reserve fund	14,910,000	12,610,000	18	14,910,000	12,610,000	18
Retained earnings	108,774,720	77,316,202	41	125,166,317	91,384,909	37
Other reserves	103,778,013	98,694,846	5	119,850,762	114,507,771	5
Total shareholders' equity	270,320,960	231,479,275	17	302,785,306	261,360,907	16
Non-controlling interests	-	-	-	14,696,030	8,388,566	75
Total equity	270,320,960	231,479,275	17	317,481,336	269,749,473	18
Total equity and liabilities	2,390,612,385	2,078,538,056	15	2,638,236,898	2,209,173,700	19
Contingent liabilities and commitments	1,009,361,708	867,243,839	16	1,009,361,708	867,243,839	16
Net assets value per ordinary share (Rs.)	472.74	404.81	17	529.51	457.07	16
Memorandum Information						
Number of Employees	5,645	5,577				
Number of Customer Centers	257	254				

CERTIFICATION

I certify that the above financial statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and amendments thereto and give a true and fair view of the state of affairs of Hatton National Bank PLC and the Group as at 31st December 2025 and its profit for the year ended 31st December 2025.

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Anuradhi Delage
Chief Financial Officer
25th February 2026

We the undersigned, being the Managing Director/Chief Executive Officer and the Chairman of Hatton National Bank PLC certify jointly that :

- (a) the above statements have been prepared in compliance with the formats and definitions prescribed by the Central Bank of Sri Lanka;
- (b) the information contained in these statements have been extracted from the audited financial statements of the Bank and it's Subsidiary Companies.

-sgd-

Damith Pallewatte
Managing Director/Chief Executive Officer
25th February 2026

-sgd-

Nihal Jayawardene
Chairman
25th February 2026

STATEMENT OF CHANGES IN EQUITY - BANK

	Stated Capital		Statutory Reserve	Other Reserves					Total Equity
	Voting Shares	Non-Voting Shares		Capital Reserve	Fair value Reserve	Special Reserve	General Reserve	Retained Earnings	
For the year ended 31st December 2025 (Audited)	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2025	35,072,240	7,785,987	12,610,000	17,240,454	11,805,828	9,548,564	60,100,000	77,316,202	231,479,275
Total comprehensive income for the year									
Net profit for the year 2025	-	-	-	-	-	-	-	45,426,847	45,426,847
Other comprehensive income for the year, net of tax	-	-	-	-	2,842,432	-	-	(863,399)	1,979,033
Total comprehensive income for the year	-	-	-	-	2,842,432	-	-	44,563,448	47,405,880
Transactions with equity holders, recognised directly in equity									
Contributions by and distributions to equity holders									
Dividends to equity holders									
Final dividend 2024 - Cash	-	-	-	-	-	-	-	(8,577,318)	(8,577,318)
Total contributions by and distributions to equity holders	-	-	-	-	-	-	-	(8,577,318)	(8,577,318)
Transfer of /(subsequent settlement of) unclaimed dividends	-	-	-	-	-	-	-	13,123	13,123
Transfers during the year 2025	-	-	2,300,000	-	-	1,240,735	1,000,000	(4,540,735)	-
Balance as at 31st December 2025	35,072,240	7,785,987	14,910,000	17,240,454	14,648,260	10,789,299	61,100,000	108,774,720	270,320,960
	Stated Capital		Statutory Reserve	Other Reserves					Total Equity
	Voting Shares	Non-Voting Shares		Capital Reserve	Fair value Reserve	Special Reserve	General Reserve	Retained Earnings	
For the year ended 31st December 2024 (Audited)	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	33,553,624	7,401,492	10,410,000	13,927,316	4,273,171	-	59,100,000	56,311,574	184,977,177
Total comprehensive income for the year									
Net profit for the year 2024	-	-	-	-	-	-	-	41,341,793	41,341,793
Other comprehensive income for the year, net of tax	-	-	-	3,313,138	7,532,657	-	-	(3,138,087)	7,707,708
Total comprehensive income for the year	-	-	-	3,313,138	7,532,657	-	-	38,203,706	49,049,501
Transactions with equity holders, recognised directly in equity									
Contributions by and distributions to equity holders									
Dividends to equity holders									
Final dividend 2023 - Cash	-	-	-	-	-	-	-	(2,238,954)	(2,238,954)
Final dividend 2023 - Scrip	1,518,616	384,495	-	-	-	-	-	(2,238,954)	(335,843)
Total contributions by and distributions to equity holders	1,518,616	384,495	-	-	-	-	-	(4,477,908)	(2,574,797)
Transfer of /(subsequent settlement of) unclaimed dividends	-	-	-	-	-	-	-	27,394	27,394
Transfers during the year 2024	-	-	2,200,000	-	-	9,548,564	1,000,000	(12,748,564)	-
Balance as at 31st December 2024	35,072,240	7,785,987	12,610,000	17,240,454	11,805,828	9,548,564	60,100,000	77,316,202	231,479,275

STATEMENT OF CHANGES IN EQUITY - GROUP														
	Stated Capital		Statutory Reserve	Other Reserves							Retained Earnings	Shareholders' Funds	Non Controlling Interests	Total Equity
	Voting	Non-Voting		Capital	General	Fair value	Special	Life Policy	Restricted	Exchange				
	Shares	Shares		Reserve	Reserve	Reserve	Reserve	Holder	Regulatory	Equalization				
								Reserve Fund	Reserve	Reserve				
For the year ended 31st December 2025 (Audited)	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2025	35,072,240	7,785,987	12,610,000	32,325,287	60,100,000	11,649,449	9,548,564	201,549	381,156	301,766	91,384,909	261,360,907	8,388,566	269,749,473
Recognition of non controlling interest on acquisition of subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	3,202,313	3,202,313
Total comprehensive income for the year														
Net profit for the year 2025	-	-	-	-	-	-	-	-	-	-	47,592,853	47,592,853	2,220,312	49,813,165
Other comprehensive income for the year, net of tax	-	-	-	126,205	-	2,686,154	-	-	-	150,858	(735,158)	2,228,059	250,963	2,479,022
Total comprehensive income for the year	-	-	-	126,205	-	2,686,154	-	-	-	150,858	46,857,695	49,820,912	2,471,275	52,292,187
Transactions with equity holders, recognised directly in equity														
Contributions by and distributions to equity holders														
Change in control without changing the ownership	-	-	-	-	-	-	-	-	-	-	28,643	28,643	-	28,643
Rights issue by subsidiary HNB Finance PLC	-	-	-	-	-	-	-	-	-	-	-	-	918,810	918,810
Dividends to equity holders														
Final dividend 2024 - Cash	-	-	-	-	-	-	-	-	-	-	(8,577,318)	(8,577,318)	(284,934)	(8,862,252)
Total contributions by and distributions to equity holders	-	-	-	-	-	-	-	-	-	-	(8,548,675)	(8,548,675)	633,876	(7,914,799)
Transfer to life policy holder reserve fund	-	-	-	-	-	-	-	139,039	-	-	-	139,039	-	139,039
Transfer of / (subsequent settlement of) unclaimed dividends	-	-	-	-	-	-	-	-	-	-	13,123	13,123	-	13,123
Transfers during the year 2025	-	-	2,300,000	-	1,000,000	-	1,240,735	-	-	-	(4,540,735)	-	-	-
Balance as at 31st December 2025	35,072,240	7,785,987	14,910,000	32,451,492	61,100,000	14,335,603	10,789,299	340,588	381,156	452,624	125,166,317	302,785,306	14,696,030	317,481,336

STATEMENT OF CHANGES IN EQUITY - GROUP														
	Stated Capital		Statutory Reserve	Other Reserves							Retained Earnings	Shareholders' Funds	Non Controlling Interests	Total Equity
	Voting	Non-Voting		Capital	General	Fair value	Special	Life Policy	Restricted	Exchange				
	Shares	Shares		Reserve	Reserve	Reserve	Reserve	Holder	Regulatory	Equalization				
								Reserve Fund	Reserve	Reserve				
For the year ended 31st December 2024 (Audited)	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	33,553,624	7,401,492	10,410,000	28,493,417	59,100,000	4,069,473	-	10,983	381,156	568,207	68,251,694	212,240,046	7,316,735	219,556,781
Total comprehensive income for the year														
Net profit for the year 2024	-	-	-	-	-	-	-	-	-	-	43,538,931	43,538,931	1,300,701	44,839,632
Other comprehensive income for the year, net of tax	-	-	-	3,831,870	-	7,579,976	-	-	-	(266,441)	(3,206,638)	7,938,767	5,130	7,943,897
Total comprehensive income for the year	-	-	-	3,831,870	-	7,579,976	-	-	-	(266,441)	40,332,293	51,477,698	1,305,831	52,783,529
Transactions with equity holders, recognised directly in equity														
Contributions by and distributions to equity holders														
Dividends to equity holders														
Final dividend 2023 - Cash	-	-	-	-	-	-	-	-	-	-	(2,238,954)	(2,238,954)	(234,000)	(2,472,954)
Final dividend 2023 - Scrip	1,518,616	384,495	-	-	-	-	-	-	-	-	(2,238,954)	(335,843)	-	(335,843)
Total contributions by and distributions to equity holders	1,518,616	384,495	-	-	-	-	-	-	-	-	(4,477,908)	(2,574,797)	(234,000)	(2,808,797)
Transfer to life policy holder reserve fund	-	-	-	-	-	-	-	190,566	-	-	-	190,566	-	190,566
Transfer of /(subsequent settlement of) unclaimed dividends	-	-	-	-	-	-	-	-	-	-	27,394	27,394	-	27,394
Transfers during the year 2024	-	-	2,200,000	-	1,000,000	-	9,548,564	-	-	-	(12,748,564)	-	-	-
Balance as at 31st December 2024	35,072,240	7,785,987	12,610,000	32,325,287	60,100,000	11,649,449	9,548,564	201,549	381,156	301,766	91,384,909	261,360,907	8,388,566	269,749,473

STATEMENT OF CASH FLOWS				
For the year ended 31st December	Bank		Group	
	2025	2024	2025	2024
	(Audited)	(Audited)	(Audited)	(Audited)
	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities				
Interest receipts	203,194,180	201,623,178	227,467,526	218,752,576
Interest payments	(112,428,521)	(128,565,113)	(120,549,785)	(133,557,378)
Net commission receipts	22,858,491	17,684,449	24,855,967	18,985,433
Payments to employees	(22,079,189)	(17,695,193)	(28,956,296)	(22,750,135)
Taxes on financial services	(23,570,433)	(13,319,538)	(24,622,107)	(13,893,960)
Receipts and exchange gain/(loss) from other operating activities	12,787,476	(10,811,220)	20,629,647	8,502,446
Payments for other operating activities	(23,332,071)	(18,746,267)	(40,431,284)	(33,660,738)
Operating profit before changes in operating assets and liabilities	57,429,933	30,170,296	58,393,668	42,378,244
(Increase)/decrease in operating assets				
Balances with Central Bank of Sri Lanka	(30,351,905)	5,320,239	(30,352,181)	5,320,239
Financial assets measured at amortised cost - loans and advances to customers	(348,954,725)	(116,835,715)	(406,931,037)	(123,531,526)
Reverse repurchase agreements	(22,319,688)	-	(19,765,894)	(3,450,231)
Other assets	4,271,795	1,874,838	1,537,430	1,341,578
	(397,354,523)	(109,640,638)	(455,511,682)	(120,319,940)
Increase/(decrease) in operating liabilities				
Financial liabilities measured at amortised cost - due to depositors	222,745,191	167,098,275	279,554,879	172,499,922
Financial liabilities measured at amortised cost - other borrowings	497,496	(7,711,581)	7,757,893	(7,808,132)
Securities sold under repurchase agreements	1,897,494	(35,208,798)	7,103,821	(35,208,798)
Other liabilities	4,488,297	(164,878)	9,804,533	928,835
	229,628,478	124,013,018	304,221,126	130,411,827
Net cash generated (used in)/generated from operating activities before income tax	(110,296,112)	44,542,676	(92,896,888)	52,470,131
Income tax paid	(9,582,378)	(24,107,062)	(10,707,884)	(25,249,820)
Net cash generated from/(used in) operating activities	(119,878,490)	20,435,614	(103,604,772)	27,220,311
Cash flows from investing activities				
Purchase of property, plant and equipment	(2,135,591)	(1,516,991)	(2,575,557)	(1,993,957)
Proceeds from the sale of property, plant and equipment	218	10,650	3,082	36,976
Net proceeds from sale, maturity and purchase of financial investments	104,714,295	(49,949,296)	93,760,145	(52,906,022)
Net purchase of intangible assets	(960,504)	(358,166)	(1,381,900)	(499,081)
Acquisition of subsidiary	(6,500,000)	-	(3,923,373)	-
Investment in right issue of subsidiary	(513,474)	-	-	-
Dividends received from investments in subsidiaries	895,368	893,280	-	-
Dividends received from other investments	320,969	236,374	318,404	236,831
Net cash generated from/(used in) investing activities	95,821,281	(50,684,149)	86,200,801	(55,125,253)
Cash flows from financing activities				
Proceeds from non-controlling interest relating to rights issue of subsidiary	-	-	918,811	-
Proceeds from the issue of subordinated debt	-	12,000,000	1,538,602	12,000,000
Proceeds from the debt securities issued	10,000,000	-	10,000,000	-
Repayment of subordinated debt/debt securities issued	-	(3,334,074)	-	(4,391,391)
Dividend paid to non controlling interest	-	-	(284,934)	(234,000)
Dividend paid to shareholders of the parent company	(8,496,495)	(2,546,164)	(8,496,495)	(2,547,403)
Net cash generated in financing activities	1,503,505	6,119,762	3,675,984	4,827,206
Net decrease in cash and cash equivalents	(22,553,704)	(24,128,773)	(13,727,987)	(23,077,736)
Cash and cash equivalents at the beginning of the period	105,261,283	129,390,056	112,769,278	135,847,014
Cash and cash equivalents at the end of the year	82,707,579	105,261,283	99,041,291	112,769,278
Cash and cash equivalents at the end of the year				
Cash and cash equivalents	55,386,321	63,384,494	56,754,697	64,093,301
Placements with banks	27,321,258	41,876,789	42,286,594	48,675,977
	82,707,579	105,261,283	99,041,291	112,769,278

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS - BANK

As at 31st December 2025 (Audited)	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total Carrying Amount
	Rs 000	Rs 000	Rs 000	Rs 000
Assets				
Cash and cash equivalents	-	55,375,004	-	55,375,004
Placements with banks	-	27,317,501	-	27,317,501
Balances with Central Bank of Sri Lanka	-	37,288,440	-	37,288,440
Reverse repurchase agreements	-	22,319,688	-	22,319,688
Derivative financial instruments	1,976,631	-	-	1,976,631
Financial assets measured at fair value through profit or loss	1,237,231	-	-	1,237,231
Financial assets measured at amortised cost - loans and advances to customers		1,433,237,237		1,433,237,237
Financial assets measured at amortised cost - debt and other financial instruments	-	650,618,623	-	650,618,623
Financial assets measured at fair value through other comprehensive income	-	-	94,855,469	94,855,469
Other financial assets	-	634,327	-	634,327
Total financial assets	3,213,862	2,226,790,820	94,855,469	2,324,860,151
Liabilities				
Due to banks	-	11,343,172	-	11,343,172
Derivative financial instruments	300,191	-	-	300,191
Securities sold under repurchase agreements	-	28,197,135	-	28,197,135
Financial liabilities measured at amortised cost - due to depositors	-	1,961,851,197	-	1,961,851,197
Financial liabilities measured at amortised cost - other borrowings	-	15,511,110	-	15,511,110
Debt securities issued	-	10,044,766	-	10,044,766
Other financial liabilities	-	7,629	-	7,629
Subordinated term debts	-	28,179,053	-	28,179,053
Total financial liabilities	300,191	2,055,134,062	-	2,055,434,253

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS - BANK

As at 31st December 2024 (Audited)	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total Carrying Amount
	Rs 000	Rs 000	Rs 000	Rs 000
Assets				
Cash and cash equivalents	-	63,356,259	-	63,356,259
Placements with banks	-	41,858,517	-	41,858,517
Balances with Central Bank of Sri Lanka	-	6,913,009	-	6,913,009
Derivative financial instruments	375,060	-	-	375,060
Financial assets measured at fair value through profit or loss	1,835,469	-	-	1,835,469
Financial assets measured at amortised cost - loans and advances to customers	-	1,063,675,345	-	1,063,675,345
Financial assets measured at amortised cost - debt and other financial instruments	-	741,761,201	-	741,761,201
Financial assets measured at fair value through other comprehensive income	-	-	96,309,470	96,309,470
Other financial assets	-	4,746,539	-	4,746,539
Total financial assets	2,210,529	1,922,310,870	96,309,470	2,020,830,869
Liabilities				
Due to banks	-	6,595,571	-	6,595,571
Derivative financial instruments	1,573,417	-	-	1,573,417
Securities sold under repurchase agreements	-	26,486,104	-	26,486,104
Financial liabilities measured at amortised cost - due to depositors	-	1,715,484,127	-	1,715,484,127
Financial liabilities measured at amortised cost - other borrowings	-	19,740,135	-	19,740,135
Debt securities issued	-	-	-	-
Other financial liabilities	-	10,466	-	10,466
Subordinated term debts	-	28,174,227	-	28,174,227
Total financial liabilities	1,573,417	1,796,490,630	-	1,798,064,047

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS - GROUP

As at 31st December 2025 (Audited)	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total Carrying Amount
	Rs 000	Rs 000	Rs 000	Rs 000
Assets				
Cash and cash equivalents	-	56,743,380	-	56,743,380
Placements with banks	-	42,282,404	-	42,282,404
Balances with Central Bank of Sri Lanka	-	37,288,716	-	37,288,716
Reverse repurchase agreements	-	25,046,586	-	25,046,586
Derivative financial instruments	1,976,631	-	-	1,976,631
Financial assets measured at fair value through profit or loss	72,322,060	-	-	72,322,060
Financial assets measured at amortised cost - loans and advances to customers	-	1,505,587,603	-	1,505,587,603
Financial assets measured at amortised cost - debt and other financial instruments	-	684,366,194	-	684,366,194
Financial assets measured at fair value through other comprehensive income	-	-	115,172,024	115,172,024
Other financial assets	-	7,341,373	-	7,341,373
Total financial assets	74,298,691	2,358,656,256	115,172,024	2,548,126,971
Liabilities				
Due to banks	-	11,343,172	-	11,343,172
Derivative financial instruments	300,191	-	-	300,191
Securities sold under repurchase agreements	-	81,505,432	-	81,505,432
Financial liabilities measured at amortised cost - due to depositors	-	2,017,732,197	-	2,017,732,197
Financial liabilities measured at amortised cost - other borrowings	-	27,213,296	-	27,213,296
Debt securities issued	-	9,986,711	-	9,986,711
Other financial liabilities	-	9,585,626	-	9,585,626
Subordinated term debts	-	32,156,082	-	32,156,082
Total financial liabilities	300,191	2,189,522,516	-	2,189,822,707

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS - GROUP

As at 31st December 2024 (Audited)	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total Carrying Amount
	Rs 000	Rs 000	Rs 000	Rs 000
Assets				
Cash and cash equivalents	-	64,065,041	-	64,065,041
Placements with banks	-	48,656,010	-	48,656,010
Balances with Central Bank of Sri Lanka	-	6,913,009	-	6,913,009
Reverse repurchase agreements	-	5,280,692	-	5,280,692
Derivative financial instruments	375,060	-	-	375,060
Financial assets measured at fair value through profit or loss	2,962,612	-	-	2,962,612
Financial assets measured at amortised cost - loans and advances to customers	-	1,104,013,319	-	1,104,013,319
Financial assets measured at amortised cost - debt and other financial instruments	-	770,020,546	-	770,020,546
Financial assets measured at fair value through other comprehensive income	-	-	112,407,299	112,407,299
Other financial assets	-	8,414,670	-	8,414,670
Total financial assets	3,337,672	2,007,363,287	112,407,299	2,123,108,258
Liabilities				
Due to banks	-	6,595,571	-	6,595,571
Derivative financial instruments	1,573,417	-	-	1,573,417
Securities sold under repurchase agreements	-	26,486,104	-	26,486,104
Financial liabilities measured at amortised cost - due to depositors	-	1,750,259,233	-	1,750,259,233
Financial liabilities measured at amortised cost - other borrowings	-	19,742,152	-	19,742,152
Debt securities issued	-	448,108	-	448,108
Other financial liabilities	-	4,190,120	-	4,190,120
Subordinated term debts	-	29,967,185	-	29,967,185
Total financial liabilities	1,573,417	1,837,688,473	-	1,839,261,890

EXPLANATORY NOTES

- 1 There are no changes in accounting policies and methods of computation since the publication of annual accounts for the year 2024.
- 2 There are no material changes during the period in the composition of assets, liabilities and contingent liabilities and use of funds raised through debentures. All known expenditure items have been provided for.
- 3 These interim financial statements are presented in accordance with Sri Lanka Accounting Standard (LKAS 34) "Interim Financial Reporting" and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.

4 ECL Assessment and computation

The Bank reassessed the impairment provisions recognized for Individually Significant Customers (ISL) during the year to ensure that adequate provisions are maintained in line with the respective risk profiles of these customers. In addition, key parameters used in the assessment of collective impairment such as Probability of Default (PD), loss given Default (LGD) and Economic Factor Adjustments (EFA) were reviewed during the year ended 31st December 2025. Post model adjustments have been applied to exposures in specific industries where elevated risk levels have been identified as well as customer exposures potentially affected by cyclone Ditwah. The Bank has recognized sufficient provisions for expected credit losses in the financial statements as at 31st December 2025 to ensure that potential impacts on its loan portfolio are appropriately covered. The Board will continue to monitor developments and make adjustments as necessary.

- 5 The Bank re-classified its debt securities portfolio measured at Fair Value Through Other Comprehensive Income category to Amortised Cost category with effect from 1st April 2022 in accordance with "Statement of Alternative Treatment (SoAT) on Reclassification of Debt Portfolio" issued by CA Sri Lanka. Accordingly, Treasury Bills and Treasury Bonds investments which were previously classified as financial assets measured at Fair Value Through Other Comprehensive Income (FVOCI) were re-classified as financial assets measured at amortised cost. There was no change to the effective interest rate used and interest revenue recognised in respect of the reclassified assets.

Had these investments continued to be carried at fair value through other comprehensive income, the fair value of same as at 31st December 2025 would have amounted to Rs 4.7 Bn (31st December 2024: Rs 11.5 Bn) and would have resulted in the recognition of a fair value loss of Rs 207 Mn (2024: Rs 326 Mn) (net of tax) in other comprehensive income statement during the period.

- 6 Where required, figures on the audited annual financial statements have been reclassified to conform to Central Bank of Sri Lanka publication requirements.

7 Reporting entity

The Bank does not have an identifiable parent of its own. Hatton National Bank PLC is the ultimate parent of the Group. The consolidated financial statements of the Bank cover the Bank and its subsidiaries, HNB Assurance PLC, Sithma Development (Pvt) Ltd, HNB Finance PLC and HNB Investment Bank (Pvt) Ltd.

On January 21, 2025, HNB PLC acquired 75,500,001 ordinary voting shares, representing a 50% stake held by DFCC Bank PLC in Acuity Partners (Pvt) Ltd, for a consideration of Rs 6.5 Bn. This transaction was completed after obtaining approvals from the Central Bank of Sri Lanka and the Securities and Exchange Commission of Sri Lanka. Following this acquisition, Acuity Partners (Pvt) Ltd has become a wholly-owned subsidiary of HNB PLC and has been rebranded as HNB Investment Bank (Pvt) Ltd. Accordingly, in the financial statements for the year ended 31st December 2024 Acuity Partners (Pvt) Ltd has been accounted for as an Equity Accounted Investee where as in the financial statements for the year ended 31st December 2025 HNB Investment Bank (Pvt) Ltd is account for as a subsidiary.

- 8 The comparative information presented in these financial statements includes the impact of Sri Lanka International Sovereign Bond (SLISB) restructure which concluded in December 2024.

9 Utilization of funds raised via capital markets

9.1 The funds raised through sustainability bond issue 2025

Objective number	Objective as Per Prospectus	Amount allocated as Per prospectus in Rs	Proposed date of Utilisation as Per prospectus	Amount allocated from proceeds in Rs Mn (A)	% of total proceeds	Amounts utilized in Rs Mn (B)	% of utilisation against allocation (B/A)	Clarification if not fully utilized including where the funds are invested
1. a	Financing and Refinancing of Green Projects	Upto 60% of the funds raised (Minimum of Rs 1 Bn to be disbursed)	In up to 24 months upon allotment of the Bonds	6,000	60%	1,004	16.70%	The unutilised funds are invested in government securities
1. b	Financing and Refinancing of Social Projects	Upto 40% of the funds raised (Minimum of Rs 1 Bn to be disbursed)	In up to 24 months upon allotment of the Bonds	4,000	40%	5	0.10%	

9.2 The funds raised through debentures previously issued were fully utilized for the objectives mentioned in the respective prospectuses

10 There are no material events that took place after the balance sheet date which require adjustment or disclosure in the financial statements other than as disclosed below.

11 Proposed dividends

The Directors recommend that a final dividend of Rs 20.00 per share on (Rs. 15.00 in the form of cash and Rs. 5.00 in the form of scrip) both voting and non-voting shares of the Bank, be paid for the financial year ended 31st December 2025. The final cash and scrip dividend is to be approved at the Annual General Meeting to be held on 31st March 2026. In accordance with Sri Lanka Accounting Standard LKAS 10 "Events after the reporting period", this proposed final cash and scrip dividend has not been recognised as a liability as at 31st December 2025.

SEGMENT REPORTING																						
For the year ended 31st December	Corporate		Retail		SME		Micro		Treasury		Real Estate		Insurance		Investment Banking		NBF1*		Eliminations / Unallocated		Consolidated	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	17,159,662	16,457,649	29,520,268	36,252,228	14,094,742	15,136,415	2,527,272	2,123,942	36,645,813	25,321,977	106,589	143,351	8,079,364	7,434,738	2,637,932	-	7,781,749	5,310,093	(3,444,766)	1,584,586	115,108,625	109,764,979
Foreign exchange income	615,609	632,210	1,456,583	1,401,079	791,725	700,628	57,077	17,012	923,691	(559,013)	-	-	-	-	-	-	-	-	2,427,462	(5,057,856)	6,272,147	(2,865,940)
Net fee and commission income	6,466,955	4,589,305	10,741,154	9,763,892	5,178,131	3,536,899	831,714	325,934	4,785	10,674	-	-	480,087	421,784	630,116	-	927,398	906,293	(265,221)	(406,056)	24,995,119	19,148,725
Other operating income / (loss)	-	-	-	-	-	-	-	-	118,231	(49,212,690)	1,175,846	1,045,973	23,845,248	18,765,349	307,242	-	2,099,861	1,311,724	953,146	(833,945)	28,499,574	(28,923,589)
Total operating income / (loss)	24,242,226	21,679,164	41,718,005	47,417,199	20,064,598	19,373,942	3,416,063	2,466,888	37,692,520	(24,439,052)	1,282,435	1,189,324	32,404,699	26,621,871	3,575,290	-	10,809,008	7,528,110	(329,379)	(4,713,271)	174,875,465	97,124,175
Impairment charge / (reversal) for loans and other losses	(5,389,571)	8,269,695	(1,426,253)	901,797	(1,181,265)	1,185,878	(191,759)	207,844	(330,246)	(90,268,781)	-	-	(1,882)	864	-	-	941,240	1,249,575	(815,460)	579,069	(8,395,196)	(77,874,055)
Net operating income / (loss)	29,631,797	13,409,469	43,144,258	46,515,402	21,245,863	18,188,064	3,607,822	2,259,044	38,022,766	65,829,729	1,282,435	1,189,324	32,406,581	26,621,007	3,575,290	-	9,867,768	6,278,535	486,081	(5,292,340)	183,270,661	174,998,234
Profit from operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	78,688,092	82,721,516
Share of profit equity accounted investee	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	797,703	1,377,926
Less: Income tax expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	29,672,630	39,259,810
Less: Non - controlling interests	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	2,220,312	1,300,701
Net Profit for the period attributable to equity holders of the parent	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	47,592,853	43,538,931
As at 31st December	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	779,616,371	698,803,930	380,230,769	285,904,178	245,462,660	185,874,986	49,092,605	32,795,429	768,278,521	843,337,050	10,934,463	11,258,395	80,650,049	62,437,072	92,463,010	-	85,969,027	53,066,750	145,539,423	30,142,884	2,638,236,898	2,203,620,674
Investment in equity accounted investee	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	5,553,026	-	5,553,026
Total assets	779,616,371	698,803,930	380,230,769	285,904,178	245,462,660	185,874,986	49,092,605	32,795,429	768,278,521	843,337,050	10,934,463	11,258,395	80,650,049	62,437,072	92,463,010	-	85,969,027	53,066,750	145,539,423	35,695,910	2,638,236,898	2,209,173,700
Segment liabilities	427,581,091	353,756,709	1,158,843,848	1,029,724,392	334,128,188	300,310,970	42,280,517	33,787,452	33,816,878	37,055,277	2,448,217	2,567,562	66,514,830	50,162,452	75,288,210	-	77,114,147	47,067,691	420,220,972	354,741,195	2,638,236,898	2,209,173,700
Total liabilities	427,581,091	353,756,709	1,158,843,848	1,029,724,392	334,128,188	300,310,970	42,280,517	33,787,452	33,816,878	37,055,277	2,448,217	2,567,562	66,514,830	50,162,452	75,288,210	-	77,114,147	47,067,691	420,220,972	354,741,195	2,638,236,898	2,209,173,700
For the year ended 31st December	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Information on cash flows																						
Cash flows from operating activities	12,391,129	94,361,875	67,170,158	108,425,194	(9,912,268)	18,235,535	(5,890,712)	2,340,534	86,188,749	14,024,725	607,033	443,640	7,238,169	3,228,226	(2,933,333)	-	(6,869,163)	(3,200,678)	(251,594,534)	(210,638,740)	(103,604,772)	27,220,311
Cash flows from investing activities	-	-	-	-	-	-	-	-	82,394,607	(49,949,296)	275,785	281,844	(6,196,340)	(2,075,617)	6,748,462	-	(1,055,728)	3,504,439	4,034,015	(6,886,623)	86,200,801	(55,125,253)
Cash flows from financing activities	-	-	-	-	-	-	-	-	-	-	(726,835)	(726,824)	(585,302)	(820,909)	(535,375)	-	3,432,285	(179,459)	2,091,211	6,554,398	3,675,984	4,827,206
Net cash flow generated / (used in) during the period	12,391,129	94,361,875	67,170,158	108,425,194	(9,912,268)	18,235,535	(5,890,712)	2,340,534	168,583,356	(35,924,571)	155,983	(1,340)	456,527	331,700	3,279,754	-	(4,492,606)	124,302	(245,469,308)	(210,970,965)	(13,727,987)	(23,077,736)
Capital expenditure																						
– Property, plant and equipment																					2,575,557	1,993,957
– Intangible assets																					1,381,900	499,081
Total Capital Expenditure																					3,957,457	2,493,038
* Business of HNB Finance PLC.																						

SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	As at	As at	As at	As at
	31.12.2025	31.12.2024	31.12.2025	31.12.2024
	Bank		Group	
BASEL III				
Regulatory Capital				
Common Equity Tier 1. Rs. Mn	222,010	190,812	271,805	219,579
Tier 1 Capital. Rs. Mn	222,010	190,812	271,805	219,579
Total Capital. Rs. Mn	262,951	233,314	312,449	262,769
Regulatory Capital Ratios				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 2025 - 8.00%: 2024 - 8.00%)	16.85%	19.59%	18.65%	20.64%
Tier 1 Capital Ratio (Minimum Requirement - 2025 - 9.50%: 2024 - 9.50%)	16.85%	19.59%	18.65%	20.64%
Total Capital Ratio (Minimum Requirement 2025 - 13.50%: 2024 - 13.50%)	19.95%	23.96%	21.47%	24.70%
Leverage Ratio (Minimum Requirement- 3.00%)	7.99%	7.93%	8.80%	8.64%
Assets Quality (Quality of Loan Portfolio)				
Impaired Loans (Stage 3) Ratio, %*	1.09%	1.88%		
Impairment (Stage 3) to Stage 3 loans Ratio, %*	75.97%	74.42%		
Profitability (Annualised)				
Interest Margin, %	4.26%	4.86%		
Return on Assets (before Tax), %	3.20%	4.03%		
Return on Equity, %	18.11%	20.40%		
Cost to Income, %	37.82%	**66.04%		
Regulatory Liquidity				
Liquidity Coverage Ratio (%) - Rupee	193.97%	292.61%		
(Minimum Requirement - 2025 - 100%, 2024 - 100%)				
Liquidity Coverage Ratio (%) - All Currency	227.75%	331.49%		
(Minimum Requirement - 2025 - 100%, 2024 - 100%)				
Net Stable Funding Ratio(Minimum Requirement - 2025 - 100%, 2024 - 100%)	137.89%	161.18%		
Credit Rating	AA-(Ika)	A(Ika)		

*Including Undrawn Portion of Credit

**Excluding the net losses on de-recognition of Sri Lanka International Sovereign Bonds, the cost-to-income ratio for 2024 would have been 37.20%

LISTED DEBENTURE INFORMATION

Market Value					Last traded price		Interest Yield as at Last Trade Done		
Quarter ended 31st December	2025		2024		2025	2024	Quarter ended 31st December	2025	2024
	Highest	Lowest	Highest	Lowest				%	%
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.			
HNB DEBENTURES 2014							HNB DEBENTURES 2014		
10 year Fixed Rate (8.33% p.a.)	N/A	N/A	N/T	N/T	N/A	N/T	10 year Fixed Rate (8.33% p.a.)	N/A	N/T
HNB DEBENTURES 2019							HNB DEBENTURES 2019		
5 year Fixed Rate (12.30% p.a.)	N/A	N/A	N/T	N/T	N/A	N/T	5 year Fixed Rate (12.30% p.a.)	N/A	N/T
7 year Fixed Rate (12.80% p.a.)	N/T	N/T	N/T	N/T	N/T	N/T	7 year Fixed Rate (12.80% p.a.)	N/T	N/T
HNB DEBENTURES 2021							HNB DEBENTURES 2021		
10 year Fixed Rate (9.50% p.a.)	N/T	N/T	N/T	N/T	N/T	N/T	10 year Fixed Rate (9.50% p.a.)	N/T	N/T
HNB DEBENTURES 2024							HNB DEBENTURES 2024		
5 year Fixed Rate (13.00% p.a.)	N/T	N/T	N/T	N/T	N/T	N/T	5 year Fixed Rate (13.00% p.a.)	N/T	N/T
5 year Fixed Rate (12.60% p.a.)	N/T	N/T	N/T	N/T	N/T	N/T	5 year Fixed Rate (12.60% p.a.)	N/T	N/T
7 year Fixed Rate (13.25% p.a.)	N/T	N/T	N/T	N/T	N/T	N/T	7 year Fixed Rate (13.25% p.a.)	N/T	N/T
10 year Fixed Rate (13.50% p.a.)	N/T	N/T	N/T	N/T	N/T	N/T	10 year Fixed Rate (13.50% p.a.)	N/T	N/T
HNB SUSTAINABALE BOND 2025							HNB SUSTAINABALE BOND 2025		
5 years fixed rate (10.25% p.a)	N/T	N/T	N/A	N/A	N/T	N/A	5 years fixed rate (10.25% p.a)	N/T	N/A
7 years fixed rate (11.00% p.a)	N/T	N/T	N/A	N/A	N/T	N/A	7 years fixed rate (11.00% p.a)	N/T	N/A
N/T – Not Traded as at 31st December, N/A – Not Applicable as at 31st December							N/T – Not Traded as at 31st December, N/A – Not Applicable as at 31st December		
Yield to Maturity of Last Trade Done (% p.a)									
RATIOS OF DEBT			Quarter ended 31st December						
	31.12.2025	31.12.2024	2025						
			%						
Debt Equity Ratio (%)	12.54	16.85	HNB DEBENTURES 2014						
	31.12.2025	31.12.2024	10 year Fixed Rate (8.33% p.a.)						
Interest Cover (Times)	19.19	22.64							
	31.12.2025	31.12.2024	HNB DEBENTURES 2019						
Yield of Comparable Govt. Securities for the following HNB Debentures (% p.a.)			5 year Fixed Rate (12.30% p.a.)						
			7 year Fixed Rate (12.80% p.a.)						
			HNB DEBENTURES 2021						
			10 year Fixed Rate (9.50% p.a.)						
			HNB DEBENTURES 2024						
			5 year Fixed Rate (13.00% p.a.)						
			5 year Fixed Rate (12.60% p.a.)						
			7 year Fixed Rate (13.25% p.a.)						
			10 year Fixed Rate (12.50% p.a.)						
			HNB SUSTAINABALE BOND 2025						
			5 years fixed rate (10.25% p.a)						
			7 years fixed rate (11.00% p.a)						
			N/T – Not Traded as at 31st December, N/A – Not Applicable as at 31st December						

SHARE INFORMATION

As at	31-Dec-25	31-Dec-24
Number of Shares		
Voting	455,968,474	455,968,474
Non-voting	115,852,722	115,852,722
Last Traded Price per share		
Voting	398.50	319.75
Non-voting	318.75	256.75

For the Quarter Ended	31-Dec-25	31-Dec-24
Highest price per share		
Voting	433.00	324.00
Non-voting	340.00	264.50
Lowest price per share		
Voting	383.50	203.00
Non-voting	295.00	165.00

PUBLIC SHAREHOLDING PERCENTAGE

	31-Dec-25	
	Number	%
Number of shareholders representing the public holding (Voting)	12,971	69% approx.
Number of shareholders representing the public holding (Non Voting)	14,220	99% approx.
Compliant under Option 1 - Float Adjusted Market Capitalization	Rs. 125.38 Bn	

DIRECTORS' AND CHIEF EXECUTIVE OFFICER'S SHAREHOLDING

	Number of shares		Type of Directorship
	31-Dec-25	31-Dec-24	
1. Mr. K. V. N. Jayawardene PC (Chairman)	-	-	Non-Independent / Non-Executive
2. Mr. P. G. D. B. Pallewatte (Managing Director / Chief Executive Officer)	-	-	Executive
3. Mr. M.P.D.Cooray	9,491	9,491	Senior Independent / Non-Executive
4. Mr. P.R. Saldin (Deceased on 16th January 2026)	-	3,505	Non-Independent / Non-Executive
5. Mr. K. A. K. P. Gunawardena (Resigned w.e.f 30th July 2025)	-	-	Non-Independent / Non-Executive
6. Mr. G. B. R. P. Gunawardana	26,261	26,261	Independent / Non-Executive
7. Dr. T.K.D.A.P Samarasinghe	-	-	Non-Independent / Non-Executive
8. Mr. M. N. R. Fernando	-	-	Independent / Non-Executive
9. Mr. S. Renganathan	-	-	Independent / Non-Executive
10. Mr. S. K. Shah	-	-	Independent / Non-Executive
11. Ms. Dilani Champika Alagaratnam Goonatilleke (Appointed as Director on 31st January 2026)	-	N/A	Independent / Non-Executive

**20 MAJOR SHAREHOLDERS (VOTING) OF HNB PLC
AS AT 31ST DECEMBER 2025**

	Name	No. of Shares	% on voting capital
1.	CEYLON STEEL COPORATION LIMITED	45,595,077	9.99
2.	EMPLOYEE'S PROVIDENT FUND	44,443,363	9.75
3.	SRI LANKA INSURANCE CORPORATION LTD-LIFE FUND	37,696,270	8.27
4.	MILFORD EXPORTS (CEYLON) (PVT) LIMITED	36,055,836	** 7.91
5.	STASSEN EXPORTS (PVT) LIMITED	31,252,000	** 6.85
6.	MR. Y. S. H. I. SILVA	23,173,547	5.08
7.	SONETTO HOLDINGS LIMITED	22,410,383	4.91
8.	SRI LANKA INSURANCE CORPORATION LTD-GENERAL FUND	19,366,354	4.25
9.	MR. H. H. ABDULHUSEIN	15,910,000	3.49
10.	DISTILLERIES COMPANY OF SRI LANKA PLC	13,982,540	** 3.07
11.	NATIONAL SAVINGS BANK	13,148,066	2.88
12.	MR. N. A. MADANAYAKE	9,330,862	2.05
13.	STANDARD CHARTERED BANK SINGAPORE S/A HL BANK SINGAPORE BRANCH	8,558,121	1.88
14.	MR. Y. S. H. R. S. SILVA	7,429,046	1.63
15.	FIRST CAPITAL HOLDINGS PLC	5,600,000	1.23
16.	JANASHAKTHI INSURANCE PLC - SHAREHOLDERS	4,940,000	1.08
17.	SIMONAS TRUST SERVICE PVT LTD	4,640,728	1.02
18.	CITIBANK NEWYORK S/A NORGES BANK ACCOUNT 2	4,483,788	0.98
19.	GALLE FACE CAPITAL PARTNERS PLC	4,000,000	0.88
20.	STAR PACKAGING (PVT) LTD	2,900,000	0.64

**Pursuant to the provisions of the Banking Act Directions No. 1 of 2007, the total collective voting rights in the Bank, of Milford Exports (Ceylon) Limited, Stassen Exports Limited and Distilleries Company of Sri Lanka (who collectively hold 17.83% of the voting shares of the Bank) are limited to 10% of the total voting rights of the Bank with effect from 15th March 2012 as the voting rights in excess of such percentage is deemed invalid from that date.

**20 MAJOR SHAREHOLDERS (NON-VOTING) OF HNB PLC
AS AT 31ST DECEMBER 2025**

	Name	No. of Shares	% on non voting capital
1.	COMMERCIAL BANK OF CEYLON PLC/ METROCORP (PVT)LTD	9,153,791	7.90
2.	AKBAR BROTHERS PVT LTD	7,314,771	6.31
3.	HNB INVESTMENT BANK (PVT) LTD/ MR. ELAYATHAMBY THAVAGNANASOORIYAM & MR. ELAYATHAMBY THAVAGNANA SUNDR	4,867,719	4.20
4.	COMMERCIAL BANK OF CEYLON PLC/G.A.B.HARISCHANDRA	2,711,254	2.34
5.	MR. K. R. E. M. D. M. B. JAYASUNDARA	1,690,000	1.46
6.	SABOOR CHATOOR (PVT) LTD	1,363,000	1.18
7.	J. B. COCOSHELL (PVT) LTD	1,341,076	1.16
8.	COMMERCIAL BANK OF CEYLON PLC/G.S.N.PEIRIS	1,290,477	1.11
9.	EMPLOYEES TRUST FUND BOARD	1,225,898	1.06
10.	AMBEON HOLDINGS PLC	1,107,538	0.96
11.	MR.E. CHATOOR	1,020,000	0.88
12.	PEOPLE'S LEASING & FINANCE PLC/MR. I. D. R. PERERA	1,003,500	0.87
13.	MR. N. A. MADANAYAKE	1,000,000	0.86
13.	N. P. CAPITAL LTD	1,000,000	0.86
14.	DFCC BANK PLC A/C NO. 02	981,960	0.85
15.	SAMPATH BANK PLC/ ANDARADENIYA ESTATE PRIVATE LIMITED	900,000	0.78
16.	MR. R. K. MODDER	851,556	0.74
17.	HATTON NATIONAL BANK PLC A/C NO 2 - (EMPLOYEES PROVIDENT FUND)	833,694	0.72
18.	SENKADAGALA FINANCE PLC/ E. THAWAGNASUNDARAM	822,409	0.71
19.	HATTON NATIONAL BANK PLC - SENFIN GROWTH FUND	803,688	0.69
20.	RIP PROPERTY PLC	797,954	0.69

ANALYSIS OF LOANS & ADVANCES AND IMPAIRMENT				
As at	Bank		Group	
	31.12.2025	31.12.2024	31.12.2025	31.12.2024
	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000
1) Gross loans and advances to customers	1,513,959,514	1,159,740,459	1,592,680,455	1,206,782,185
Less : Accumulated impairment under stage 1	9,267,472	9,924,864	10,049,218	10,477,990
Accumulated impairment under stage 2	7,801,917	8,383,867	8,258,516	8,897,502
Accumulated impairment under stage 3	63,652,888	77,756,383	68,785,118	83,393,374
Net loans and advances to customers	1,433,237,237	1,063,675,345	1,505,587,603	1,104,013,319
Product-wise Gross loans and advances to customers				
By product-Domestic Currency				
Overdrafts	146,346,329	124,849,956	145,994,828	124,624,950
Bills of exchange	210,388	358,205	210,388	358,205
Commercial papers	260,136	242,634	260,136	242,634
Credit Cards	25,873,222	20,581,153	25,873,222	20,581,153
Trust receipts	50,547,750	29,276,080	50,547,750	29,276,080
Packing credit loans	13,615,915	8,385,343	13,615,915	8,385,343
Staff loans	25,181,189	20,371,999	25,474,630	20,757,747
Term loans	701,228,274	573,456,540	731,569,869	596,715,244
Lease rentals receivable	126,158,149	81,136,319	174,595,555	104,758,599
Housing loans	70,335,992	55,731,372	70,335,992	55,731,372
Pawning advances	116,256,970	80,249,186	116,256,970	80,249,186
Sub total	1,276,014,314	994,638,787	1,354,735,255	1,041,680,513
By product-Foreign Currency				
Overdrafts	6,192,905	4,560,295	6,192,905	4,560,295
Bills of exchange	1,501,788	1,332,285	1,501,788	1,332,285
Trust receipts	3,982,714	3,172,138	3,982,714	3,172,138
Packing credit loans	25,160,394	26,935,578	25,160,394	26,935,578
Term loans	199,582,059	127,474,279	199,582,059	127,474,279
Lease rentals receivable	121,037	184,493	121,037	184,493
Housing loans	1,404,303	1,442,604	1,404,303	1,442,604
Sub total	237,945,200	165,101,672	237,945,200	165,101,672
Total	1,513,959,514	1,159,740,459	1,592,680,455	1,206,782,185
Movements in stage-wise impairment of loans & advances during the period				
	Bank			
	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Opening balance as at 1st January 2024	10,653,265	10,333,747	66,122,875	87,109,887
Net impairment charge /(reversal) for the year	(640,148)	(1,824,681)	13,132,946	10,668,117
Write-offs during the year	-	-	(752,915)	(752,915)
Effect of exchange rate fluctuations/Other movements	(88,253)	(125,199)	(746,523)	(959,975)
Closing balance as at 31st December 2024	9,924,864	8,383,867	77,756,383	96,065,114
Opening balance as at 1st January 2025	9,924,864	8,383,867	77,756,383	96,065,114
Net impairment charge /(reversal) for the year	(677,794)	(634,682)	(6,883,852)	(8,196,328)
Write-offs during the year	-	-	(5,049,595)	(5,049,595)
Effect of exchange rate fluctuations/Other movements	20,402	52,732	(2,170,048)	(2,096,914)
Closing balance as at 31st December 2025	9,267,472	7,801,917	63,652,888	80,722,277
	Group			
	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Opening balance as at 1st January 2024	12,960,050	10,659,837	68,965,082	92,584,969
Net impairment charge /(reversal) for the year	(2,393,807)	(1,637,136)	15,811,964	11,781,021
Write-offs during the year	-	-	(773,819)	(773,819)
Effect of exchange rate fluctuations/Other movements	(88,253)	(125,199)	(609,853)	(823,305)
Closing balance as at 31st December 2024	10,477,990	8,897,502	83,393,374	102,768,866
Opening balance as at 1st January 2025	10,477,990	8,897,502	83,393,374	102,768,866
Net impairment charge /(reversal) for the year	(452,031)	(691,718)	(6,279,143)	(7,422,892)
Write-offs during the year	-	-	(6,326,869)	(6,326,869)
Acquisition of subsidiary	2,857	-	-	2,857
Effect of exchange rate fluctuations/Other movements	20,402	52,732	(2,002,244)	(1,929,110)
Closing balance as at 31st December 2025	10,049,218	8,258,516	68,785,118	87,092,852

ANALYSIS OF COMMITMENTS, CONTINGENCIES AND IMPAIRMENT				
As at	Bank		Group	
	31.12.2025	31.12.2024	31.12.2025	31.12.2024
	(Audited)	(Audited)	(Audited)	(Audited)
	Rs 000	Rs 000	Rs 000	Rs 000
2) Gross commitments and contingencies	1,009,361,708	867,243,839	1,009,361,708	867,243,839
Less : Accumulated impairment under stage 1	1,254,325	1,984,084	1,254,325	1,984,084
Accumulated impairment under stage 2	110,160	106,880	110,160	106,880
Accumulated impairment under stage 3	2,047,184	1,872,125	2,047,184	1,872,125
	1,005,950,039	863,280,750	1,005,950,039	863,280,750
Product-wise commitments and contingencies				
By Product - Domestic Currency				
Documentary credit	1,404,074	561,718	1,404,074	561,718
Guarantees	71,062,918	61,383,820	71,062,918	61,383,820
Acceptances	629,072	78,060	629,072	78,060
Bills for collection	1,394,343	367,655	1,394,343	367,655
Forward exchange contracts				
Forward exchange sales	-	-	-	-
Forward exchange purchases	-	-	-	-
Cheques sent on clearing	7,013,082	5,987,687	7,013,082	5,987,687
Undrawn credit lines - Direct	324,906,889	271,929,810	324,906,889	271,929,810
Undrawn credit lines - Indirect	121,213,122	145,878,920	121,213,122	145,878,920
Sub total	527,623,500	486,187,670	527,623,500	486,187,670
By Product - Foreign Currency				
Documentary credit	46,685,453	26,770,025	46,685,453	26,770,025
Guarantees	16,529,226	17,162,303	16,529,226	17,162,303
Acceptances	16,516,774	14,639,979	16,516,774	14,639,979
Bills for collection	39,037,611	33,206,021	39,037,611	33,206,021
Forward exchange contracts				
Forward exchange sales	62,138,808	52,460,878	62,138,808	52,460,878
Forward exchange purchases	189,232,293	140,389,106	189,232,293	140,389,106
Cheques sent on clearing	47,930	16,029	47,930	16,029
Undrawn credit lines - Direct	2,249,289	1,442,110	2,249,289	1,442,110
Undrawn credit lines - Indirect	109,300,824	94,969,718	109,300,824	94,969,718
Sub total	481,738,208	381,056,169	481,738,208	381,056,169
Total	1,009,361,708	867,243,839	1,009,361,708	867,243,839
Movements in stage-wise impairment of commitments and contingencies during the period				
	Bank / Group			
	Stage 1	Stage 2	Stage 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Opening balance as at 1st January 2024	3,026,254	347,953	1,265,662	4,639,869
Net impairment charge /(reversal) for the year	(1,042,170)	(241,073)	606,463	(676,780)
Closing balance as at 31st December 2024	1,984,084	106,880	1,872,125	3,963,089
Opening balance as at 1st January 2025	1,984,084	106,880	1,872,125	3,963,089
Net impairment charge /(reversal) for the year	(729,759)	3,280	175,059	(551,420)
Closing balance as at 31st December 2025	1,254,325	110,160	2,047,184	3,411,669

ANALYSIS OF DEPOSITS				
	Bank		Group	
As at	31.12.2025	31.12.2024	31.12.2025	31.12.2024
	(Audited)	(Audited)	(Audited)	(Audited)
	Rs 000	Rs 000	Rs 000	Rs 000
3) Due to Customers - By product				
Local Currency Deposits				
Current account deposits	111,338,421	97,132,894	110,425,151	96,263,478
Savings deposits	486,308,809	409,389,702	487,264,933	410,597,836
Time deposits	979,064,965	883,991,720	1,035,649,970	918,928,682
Certificates of deposit	274,257	274,153	274,257	274,153
Margin deposits	4,026,162	2,170,970	4,026,162	2,170,970
Sub total	1,581,012,614	1,392,959,439	1,637,640,473	1,428,235,119
Foreign Currency Deposits				
Current account deposits	9,053,988	9,703,793	9,053,988	9,703,793
Savings deposits	85,448,431	69,812,801	85,433,691	69,783,145
Time deposits	286,303,400	242,861,554	285,571,281	242,390,636
Margin deposits	32,764	146,540	32,764	146,540
Sub total	380,838,583	322,524,688	380,091,724	322,024,114
Total	1,961,851,197	1,715,484,127	2,017,732,197	1,750,259,233

FAIR VALUE DISCLOSURE OF FINANCIAL INSTRUMENTS

Fair value Disclosure of Financial Instruments

The Group measures the fair values of financial instruments using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

Level 1: Fair value measurement using unadjusted quoted market price

When available, the fair values of financial instruments are determined using quoted market prices (unadjusted) in active markets for identical instruments. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. Accordingly, the fair values of treasury bills and bonds have been derived using the market yields and market prices published by Central Bank of Sri Lanka while fair value of quoted equity securities and PDI Bonds have been valued using the quoted market prices as at the reporting date

Level 2: Fair value measurement using significant observable inputs

In the absence of an active market for a financial instrument, the fair value is determined using quoted market prices in active markets for similar instruments or quoted prices for identical or similar instruments in markets that are considered less than active or other valuation techniques in which all significant inputs are directly or indirectly observable from market data. The spot and forward premiums available as at the reporting date have been used to estimate the fair value of derivative financial instruments while the fair value of unquoted units have been measured using manager's selling prices. The fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments. The Bank classified the fair value of USD Step up Bond & PDI Bond under Level 2.

Level 3: Fair value measurement using significant unobservable inputs

Financial instruments for which the valuation technique includes inputs that are not observable and the unobservable inputs have a significant effect on the instrument's valuation.

There are no material changes in the fair value of financial assets categorised under Level 3 compared to the values reported as at 31st December 2024. The Group has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the year ended 31st December 2025.

FINANCIAL ASSETS & LIABILITIES MEASURED AT FAIR VALUE - FAIR VALUE HIERARCHY

As at 31st December 2025	Bank				Group			
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000
Financial assets measured at fair value								
Derivative financial instruments	-	1,976,631	-	1,976,631	-	1,976,631	-	1,976,631
Financial assets measured at fair value through profit or loss	1,237,231	-	-	1,237,231	2,042,834	509,366	-	2,552,200
Financial assets measured at fair value through other comprehensive income	77,304,693	17,366,596	184,180	94,855,469	97,615,574	17,366,596	189,854	115,172,024
Total financial assets measured at fair value	78,541,924	19,343,227	184,180	98,069,331	99,658,408	19,852,593	189,854	119,700,855
Financial liabilities measured at fair value								
Derivative financial instruments	-	300,191	-	300,191	-	300,191	-	300,191
Total financial liabilities measured at fair value	-	300,191	-	300,191	-	300,191	-	300,191

As at 31st December 2024	Bank				Group			
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000
Financial assets measured at fair value								
Derivative financial instruments	-	375,060	-	375,060	-	375,060	-	375,060
Financial assets measured at fair value through profit or loss	1,835,469	-	-	1,835,469	2,669,597	293,015	-	2,962,612
Financial assets measured at fair value through other comprehensive income	76,913,149	19,212,141	184,180	96,309,470	93,006,546	19,212,141	188,612	112,407,299
Total financial assets measured at fair value	78,748,618	19,587,201	184,180	98,519,999	95,676,143	19,880,216	188,612	115,744,971
Financial liabilities measured at fair value								
Derivative financial instruments	-	1,573,417	-	1,573,417	-	1,573,417	-	1,573,417
Total financial liabilities measured at fair value	-	1,573,417	-	1,573,417	-	1,573,417	-	1,573,417

FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES CARRIED AT AMORTISED COST

As at 31st December 2025	Bank					Group				
	Carrying Value Rs 000	Fair Value			Total Rs 000	Carrying Value Rs 000	Fair Value			Total Rs 000
		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000			Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	
Financial Assets										
Financial assets measured at amortised cost										
Loans and advances to customers	1,433,237,237	-	1,467,835,478	-	1,467,835,478	1,505,587,603	-	1,545,848,151	-	1,545,848,151
Debt and other financial instruments	650,618,623	574,184,801	73,792,913	-	647,977,713	684,366,194	591,288,572	93,541,370	-	684,829,942
Total financial assets measured at amortised cost	2,083,855,860	574,184,801	1,541,628,390	-	2,115,813,191	2,189,953,797	591,288,572	1,639,389,521	-	2,230,678,093
Financial Liabilities										
Financial liabilities measured at amortised cost										
Due to depositors	1,961,851,197	-	1,986,523,403	-	1,986,523,403	2,017,732,197	-	2,042,114,922	-	2,042,114,922
Other borrowings	15,511,110	-	15,511,110	-	15,511,110	27,213,296	-	27,213,297	-	27,213,297
Debt securities issued	10,044,766	-	10,038,952	-	10,038,952	9,986,711	-	9,980,897	-	9,980,897
Subordinated term debts	28,179,053	-	30,287,425	-	30,287,425	32,156,082	-	34,264,454	-	34,264,454
Total financial liabilities measured at amortised cost	2,015,586,126	-	2,042,360,891	-	2,042,360,891	2,087,088,286	-	2,113,573,570	-	2,113,573,570

As at 31st December 2024	Bank					Group				
	Carrying Value Rs 000	Fair Value			Total Rs 000	Carrying Value Rs 000	Fair Value			Total Rs 000
		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000			Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	
Financial Assets										
Financial assets measured at amortised cost										
Loans and advances to customers	1,063,675,345	-	1,075,048,670	-	1,075,048,670	1,104,013,319	-	1,114,972,987	-	1,114,972,987
Debt and other financial instruments	741,761,201	682,838,280	75,431,246	-	758,269,526	770,020,546	700,813,971	90,791,756		791,605,727
Total financial assets measured at amortised cost	1,805,436,546	682,838,280	1,150,479,916	-	1,833,318,196	1,874,033,865	700,813,971	1,205,764,743	-	1,906,578,714
Financial Liabilities										
Financial liabilities measured at amortised cost										
Due to depositors	1,715,484,127	-	1,734,577,618	-	1,734,577,618	1,750,259,233	-	1,769,175,119	-	1,769,175,119
Other borrowings	19,740,135	-	19,740,135	-	19,740,135	19,742,152	-	19,742,152	-	19,742,152
Debt securities issued	-	-	-	-	-	448,108	-	448,108	-	448,108
Subordinated term debts	28,174,227	-	30,554,562	-	30,554,562	29,967,185	-	32,347,519	-	32,347,519
Total financial liabilities measured at amortised cost	1,763,398,489	-	1,784,872,315	-	1,784,872,315	1,800,416,678	-	1,821,712,898	-	1,821,712,898